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‘A big black shadow’: Allegra’s \$50,000 HECS debt for one straightforward degree

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November 22, 2023 – 4.10pm



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Allegra Lopes Potamianos’ heart sank when she heard about the federal government’s plan to dramatically raise fees for humanities degrees.

The 2021 job-ready reforms meant the cost of her chosen degree in communications would more than double.



Allegra Potamianos is a soon-to-be communications graduate. STEVEN SIEWERT

But three years and about \$50,000 in HECS debt later, the soon-to-be Western Sydney University graduate has no regrets.

“When I think about it, I would do this degree over again in a heartbeat,” she said. She’s part of the first crop of graduates since the Morrison government’s job-ready scheme, which was intended to deter students from courses like arts degrees and into ones deemed areas of demand, came into effect in 2021.

It hiked the fees for humanities and communications subjects by 117 per cent, while subjects such as teaching, nursing and engineering dropped in price. But the latest analysis has shown the policy has had little impact on the degrees students are choosing.

Lopes Potamianos has already landed a job at Media Federation of Australia but her HECS debt is always at the back of her mind, for a while even paying \$20 a week to try to make a dent in it.

“It’s a big black shadow that doesn’t go away,” she said.

Australian National University higher education expert Andrew Norton said thousands of students affected by the huge fee hikes in 2021 would take decades to repay their debt – if they ever do. “That’s not sensible policy,” he said.

He said the government should revert to a version of the previous fee structure, where the student contribution was roughly related to the expected future financial earnings.

“That aligns better with the HELP repayment system: people who earn more can repay more quickly,” he said.

Academics at the University of Melbourne this year analysed more than 725,000 undergraduates who applied for courses in NSW and the ACT between 2004 and 2022, and found that just 1.5 per cent of students chose a field that they would not have chosen had it not been for the scheme.

One of the study’s authors, senior research fellow Dr Jan Kabátek, said this trend wasn’t surprising to see because many high school students had already decided what they wanted to study before the new fee scheme came into effect.

The fact that Australian students defer their debt also could have dampened the impact of the policy, he said.

“Resources spent on fostering their interest in STEM are likely to have a much more profound impact than any changes of student fees,” Kabátek said.

Mohit Tholu, a second year student at University of NSW studying a bachelor of politics, philosophy and economics, thinks the price increases have done little to discourage people from studying humanities.

“As a policy itself I think it’s quite flawed because we do have HECS and as much as people don’t want to be spending too much, they’re comfortable enough putting that debt on their HECS if they have to,” he said. “So it’s not really a disincentive when it’s a future problem. I’m not going to change my entire degree to do something that’s cheaper; I’m not going to be good at it or enjoy it.”

The University Accord interim report released in July, commissioned by Education Minister Jason Clare, said the current arrangement risked causing long-term and entrenched damage to

Australian higher education. Clare said the report made it clear that the job ready scheme has not worked, but has stopped short of committing to winding back humanities fee hikes.

“I have asked the panel to look at the issue of affordability, including the operation of the HELP system and the amounts that students are contributing to the cost of their degrees through the HELP system,” he said.

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